

AMERICAN FORK CITY COUNCIL
JUNE 7, 2022
WORK SESSION MINUTES

Members Present:

Bradley J. Frost	Mayor
Kevin Barnes	Council Member
Staci Carroll	Council Member
Ryan Hunter	Council Member
Rob Shelton	Council Member
Clark Taylor	Council Member

Staff Present:

David Bunker	City Administrator
Patrick O'Brien	Development Services Director
Camden Bird	Community Services Director
Rebecca Andrus	City Engineer
Terilyn Lurker	City Recorder
Anna Montoya	Finance Officer
Aaron Brems	Fire Chief
George Schade	IT Director
Scott Sensenbaugh	Public Works Director
Derric Rykert	Parks and Recreation Director

Also present: John Woffinden

The City Council held a work session on Tuesday, June 7, 2022, at the Historic City Hall, located at 31 North Church Street, commencing at 4:00 p.m.

WORK SESSION

1. Discussion on the fiscal year ending June 30, 2023, budget.

Anna Montoya, Finance Director, stated there would be a public hearing next week and gave an overview of the city-wide budget. She noted the revenues received and expenditures made by type. Charges for services is the largest portions of revenues which are mostly Utility and Fees (water, sewer, storm drain, etc.) with sales tax being the second biggest revenue at 17%. She noted there are also some revenues that will go to fund some road projects and that's dedicated funds. The expenditures are mostly for it is for Capital Investments, which is the Utility Funds (street projects, water projects, and fire station as well). The personnel and operation expenditures are 21% and 23%. Ms. Montoya noted that public safety makes up most of the expenditures (Police and Fire), followed by Public Works at 17% (Engineering, Public Works administration, streets and building maintenance etc.). In the General Fund Expenditures, most would be personnel expenses mostly to the Public Safety department (Police and Fire).

Ms. Montoya showed the trends of revenues vs. expenditures, and where the fund balance is. Revenues have exceeded the Expenditures the last few years. She noted the budget was done conservatively which gave a cushion to be put into the fund balance which gave us 35% revenues. In FY 2023 they were proposing a balanced budget.

Ms. Montoya narrowed down the expenditures by type for General Fund. There was an increase from last year of 3.7 million in the General Fund expenditures. The reason for increase in operations was due to inflation, additional services, to keep up with personnel competitive wages, and try to get quality people.

Ms. Montoya gave an overview of the personnel changes by function. The proposal included reorganizing in Administration and Community services and adding a full-time Community Service Director which is currently vacant. They were proposing a full-time Arborist (split 75% from the General Fund and 25% in Irrigation). Also, additional staff for Library, Parks, and Senior Center. Some of that is offset by additional revenue. In Public Safety, they were proposing 4.5 additional FTE - 3 full-time police officers, 2 part-time records specialists in Police department, and move a part-time Deputy Fire Marshall to full-time. The 2 part-time records will equal one full-time FTE. Public Works is proposing 1.25 for a full-time Public Works technician in the Streets department and moving a part-time administrative assistant to full-time. In Development Services, they were adding one full-time planner and moving a part-time to full-time for administrative assistant due to the workload and development. In Utilities 1.25 was mostly in storm drain. It has one full-time coordinator and one full-time inspector. They were also proposing a full-time Public Works technician in Water that will be split between Culinary and Irrigation. The total is 14.8 of FTE which is a 5% increase overall.

Ms. Montoya discussed property tax, per previous work session, looking at a \$10 per month per household which equates to \$120 a year. She showed the proposed public notice. She mentioned the certified tax rate should be received next week. She guessed the proposed rate will be less than pegging the rate due to inflation and the rise of evaluations but won't now know for certain until we receive the certified tax rate. The increase from property tax will go to fund the increased public safety costs and road improvements.

She mentioned there was a budget open house and the tentative budget was approved in May, and all of it is online. The public is notified by posters in the library and some at the fitness center.

Mayor Frost asked what was in the city newsletter. Mr. Camden Bird, the Community Service Director explained the front page of the newsletter summarized the budget, the key finding facts, projects, FTE and property tax increase. We stated on the newsletter the intent budget increase by \$10 per month per residence and included diagrams and graphics that was included in the open house that showed roads and summarized data.

Council Member Barnes asked if the first hearing is August 23rd for truth in taxation? Ms. Montoya replied that there will be a public hearing for the proposed budget and then in August it will be for the tax rate. She stated that only one public hearing is required. Mr. Bunker added

that June is the public hearing for the budget and August 23rd (because that date was set by the county) is the public hearing for truth and taxation.

Discussion amongst the council and staff ensued about the start time and how long for the public hearing.

Council Member Shelton asked about the proposed part-time Senior Citizen job and what would the duties entail. Mr. Bunker replied that it was mostly to help with the administration of the senior center. In the past they've done their own thing and there have been questions about finance, so this person will help with that and programming. Before they had the Senior Center Director and board members helping, but now the city staff will be helping them out.

There was a short discussion on the senior center, board members that get stipends, Meals-on-Wheels program, scheduling of the building, what type of help is needed, and how much it will cost for the part-time administrative assistant. Mayor Frost suggested for Council Member Shelton to go to the Senior Center to see why a part-time administrative assistant is needed.

Council Member Shelton inquired about the Parks part-time person and what is that administrative role. He felt that there were a lot of part-time employees all over the departments and just wanted a clearer understanding on what it was for. Mr. Bunker stated that with the demand on the parks and expanded parks, there is more work and a lot of the administrative duties have fallen on Jason and it would be better suited for him to be out managing the crews. The administrative assistant would be doing the invoices, working with the Finance department, take calls and keeping track of the needs for the parks. Mr. Bird added that when they evaluated Cemetery and Parks, there was a full-time administrative assistant in Cemetery, but after looking at the needs between the two departments it was better to have the position at the Cemetery go part-time (which it has) and Parks have a part-time position, which helped both departments fill the once full-time position slot that was at the Cemetery.

Council Member Shelton mentioned that looking from the original budget, that there was a certain amount of money left from the Mill Levy which was 500,000 short and said what we were going to cut and seeing if the roads should be 100% cut and what would be the best thing to do with the money. He mentioned the city Forester and discussions that were had on that topic and he had some concerns with that. He feels that the City shouldn't have the responsibility to be concerned about trees and park strips. He added that there were other things that could be done. He compared it to what needs to be done to roads and suggested looking into other options like tree trimming or sidewalks programs and cutting back on the Forester budget. Council Member Ryan explained that the roads were not cut, that the 500,000 was not added to roads, it was a portion (1/3) that was being proposed originally in our first discussion of the budget.

Ms. Montoya stated that the balanced budget was before the Mill Levy was added and the increase of property tax which will go towards roads. She added that when backing out of the Mill Levy it takes it out of the roads. Overall, we do have an increase from the prior year budget.

Discussion ensued in regards to the perception of the road funds so that there is a clear understanding that the roads did not get cut from the budget and that it is a priority and it gets funded.

Council Member Taylor stated his concern was for the roads and how anywhere in Utah County roads are bad. He spoke of the other additional items as in the FTE (library or forester) provides a quality of life to a certain level. He stated that the City could throw millions of dollars to fix the roads and it would never be enough. He added that even though the priority is the roads, it doesn't mean there aren't other areas in the city that are critical or need to be taken care of

Council Member Shelton explained that the roads should be a priority to get the RSL level up to 12 and noted that studies show that every \$1 spent today can save them \$10 later. By spending the money now, it will allow the City to be able to do more things in the future in other areas such as the library or senior center because the City will be making effective use of the money now compared to the past where it has been whoever has the biggest complaint.

Mayor Frost mentioned that in MAG they grapple with the same things in regional roads, increase in land, and construction. He felt the council wants to make roads better, but there are other areas that are important. He expressed that he felt comfort in the direction the City was heading, that they were striking a balance, and headed in the right direction. When it comes time for Truth & Taxation, those council members who feel like we need to put money to roads, they can advocate for more taxes.

Council Member Shelton shared that the city needed to adopt a sidewalk replacement program and that would be better than having someone driving around looking at trees. He feels that the council should pass an ordinance that says the park strip is 100% the responsibility of the homeowner. He mentioned options and suggestions that could be done to sidewalks and trees without spending money on a Forester.

Council Member Hunter expressed concern about the suggestions Council Member Shelton stated as other options that can be done. There is an assumption that what is being done with the staff isn't enough or that there are extra hours that staff will be putting into facilitating those things. If there was time to come up with a plan, it would already be happening. He felt the council's role is to govern and not to tell the city manager that they are not going to put in what he is advocating for. The council's job is to help govern the city manager and his staff and let them do what they are good at and trust them to get their job done and hold them accountable.

Mayor Frost asked if anyone in the council wanted to weigh in on the first item of the budget.

Council Member Carroll stated that she has given a lot of thought about the Arborist and would like to try and see it work. The idea of getting behind on roads because of not using the money wisely for the roads, the same thing can be said with trees and sidewalks. She expressed that she would like to try it and see it progress with someone in charge of it.

Council Member Barnes asked if tree maintenance was a whole new department or wondered if that was the same as the Arborist, and what was \$100,000 for professional and technical entailed? Ms. Montoya replied that this would be a supplement to the Arborist to trim the trees until the city has the equipment needed and that it would be phased out in year two.

Council Member Barnes commented that he is not in favor of spending money on the fitness center other than the things that need to be fixed in order to maintain it until a plan is in place, no money should be spent on the facility. He expressed any money that was planned for the fitness center should be set aside to be used once there is a plan.

Council Member Barnes also expressed that he was opposed to the suggested tax increase and felt they should consider increasing it slightly.

2. Discussion on updating the General Fee Schedule.

Ms. Montoya started by explaining they review the fee schedule and noted that she solicited the departments for any proposed changes and justification for those changes. She stated that for taxes they are changing they are changing the verbiage to adopt the tax rate that is set by resolution (that will not change) just the wording. She went over the proposed changes.

They were recommending implementation of a per ticket fee for profit events that happen in the parks. It takes away the opportunity for citizens to use the park for free. Council Member Shelton asked how that will be handled and what is the process. Mr. Bunker replied that when the permit application for special events is filled out, they have to state how many people are going to be using the park and what their capacity is for the event and we would have to reconcile that in the end. A short discussion amongst the council on how to handle the collection of this fee (whether for profit or non-profit events), also whether or not taxes need to be paid.

Council Member Hunter mentioned that in the library, they've asked to change the fee for sending faxes to a \$1 per fax up to 50 pages of fax. Casandria Crane from the library is recommended for it to be approved.

Council Member Shelton questioned the fire department and the alarms. He added there is more there than before. He didn't understand some of them as in the Fire Pump inspection or Hood Suppression inspection. He asked if these were annual fees and why there is a charge to them. Chief Brems replied that some of these are seldomly used. He mentioned they are using a company named Briser, but after talking to the Fire Marshall and other chiefs, a lot of them are going to another company that specializes in this and their scope covers more than the company we use now. He added that most buildings have a fire panel, the fire riser inspection and sprinkler. He went on to add that there is a cost, but the fire department is getting bombarded by false alarms, and this will help put ownership on the building owner to get it fixed. He felt that they needed to add the residential as well. The first two are free and then it's tiered.

Council Member Carroll wanted an explanation on why the \$500 fee for the land disturbance permit. Rebecca Andrus replied that for a storm water prevention permit, if you have individual builders on a single lot that is part of a bigger subdivision, the state requires a "common plan of development" and that requires the city to review and do several inspections to sign off on it.

Council Member Shelton asked about zoning confirmation letters, where that comes into play, is that only when someone is requesting an official letter. Mr. O'Brien stated that it is the letter that goes to the lenders, detailing the zoning, variances on the property, and all the detailed

information that may require research for. It's the top level of the zone they are in. We get 4 to 5 of them a week and it takes up time.

Council Member Shelton inquired about annexation fees. Ms. Lurker replied that she evaluated and estimated how much time it takes for each step of the annexation process, adding in the time for meeting noticing requirements, travel time, mileage, and postage for the notices that are sent out.

Council Member Shelton also inquired on the garbage fees and renewal. Mr. Bunker added that there was still time on the contract and that they renew before the contract ends. Council Member Shelton asked about the postpone rate increase on the water and wanted to know if that had been canceled. Mr. Bunker stated it was not being done this year, and that it will happen next year if the Council suggests it then we will institute that fee next year. It's still part of the study, but that is a decision the Council will have to make again if they want to postpone it again and have the study done again. Mayor Frost agreed that postponing it would be the way to go.

3. Adjourn.

The work session ended at 5:37 p.m.



Stephanie Finau
Deputy Recorder